ROC

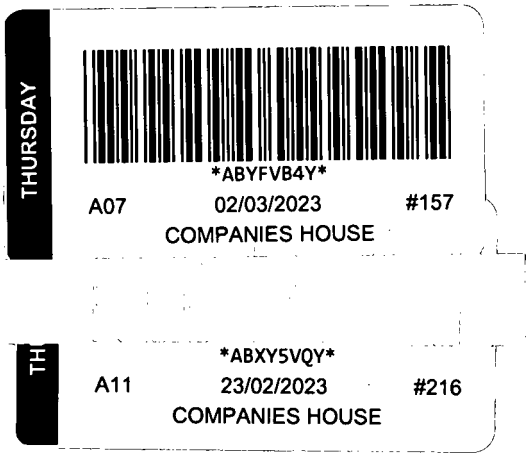
office copy

Company Registration No. 06550400 (England and Wales)

ROTHERHAM UNITED FOOTBALL CLUB (RUFC) LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE YEAR ENDED 30 JUNE 2022



ROTHERHAM UNITED FOOTBALL CLUB (RUFC) LIMITED

COMPANY INFORMATION

Directors	A R Stewart R P Stewart K Thomas
Secretary	K Thomas
Company number	06550400
Registered office	New York Stadium New York Way Rotherham South Yorkshire S60 1AH
Auditors	Buckle Barton Limited Sanderson House Station Road Horsforth Leeds LS18 5NT
Bankers	Barclays Bank Plc 77 Albion street Leeds LS1 5LD

ROTHERHAM UNITED FOOTBALL CLUB (RUFC) LIMITED

CONTENTS

	Page
Strategic report	1 - 4
Directors' report	5 - 6
Independent auditor's report	7 - 9
Statement of total comprehensive income	10
Balance sheet	11
Statement of changes in equity	12
Notes to the financial statements	13 - 22

ROTHERHAM UNITED FOOTBALL CLUB (RUFC) LIMITED

STRATEGIC REPORT

FOR THE YEAR ENDED 30 JUNE 2022

The directors present the strategic report for the year ended 30 June 2022.

Review of the business and future developments

The 2021-22 season is Rotherham United's (RUFC) 97th season in their existence. Playing back in League One we pulled together and successfully finished the season in second place securing automatic promotion back into the Championship for 2022-23.

Turnover including income from player trading was £9.9m compared to last season in Championship (£12.1m). Central Funding decreased from £7.9m the previous season to £3m this year due to League One status. Football income from season tickets, gate receipts and prize money was £2.6m compared to zero the previous season. Sponsors welcomed the opportunity to get back into the lounges to sponsor match days and increase advertising (£2.9m v £2.3m previous season). Merchandising income continues to grow, up 4% on last season (£922k v £883k). Income from media has decreased from £691k to £95k due to fewer televised matches this season. Income from player trading was £35k (£274k 2021). Other miscellaneous income increased from £64k to £202k due to funding received for new floodlights required to host Women's Euros in July 2022.

Cost of sales has decreased by 11% from £10.5m to £9.3m. Whilst player costs are lower this season , match day operational costs have increased to levels higher than pre pandemic (up 75% on 2021 playing behind closed doors but up also up 16% on 2019) reducing the savings usually generated from league one wages and operations.

Net administration costs of £3.3m increased by £567k (20%) from last season and £435k (15%) from pre pandemic 2019 .Increases versus 2021 are mainly due to activities returning to normal but also as a result of increased investment in Flood lighting, hardware and software, repairs/maintenance and utilities. Costs have also increased compared to 2019 as result of inflationary rises post pandemic.

In a challenging season the loss before tax was £1.7m (compared to loss £0.9m 2021).

Principal risks and uncertainties

Business risk

The nature of the principal activities of the business are such that the company's revenues are somewhat dependent on the 'on-pitch' performance of the football team and getting fans and sponsors back into the stadium.

With fans back into the stadium in 2021/22 continued investment in digital advertising and maximin media exposure is essential. The club must continue engage with fans and maintain and build relationships with sponsors and research any commercial opportunities that may create additional revenue for the club.

In order to compete in highly competitive leagues, significant and continued investment is required in the playing squad. Acquisition of new players and renewal of current key player contracts is essential to the long term playing and financial health of the club. As a club we have never really had a significant number of EU players, coaches or staff so it is hard to see Brexit as posing a major threat to the club.

Compliance with the Football League regulations is a key area for the club. Company performance will continue to be monitored in order to comply with the financial constraints of the regulatory framework.

Credit risk

The company's credit risk is relatively low and is mainly attributable to its trade debtors. Credit risk is managed by running credit checks on new customers and by monitoring payments against contractual arrangements. Through conducting regular reviews the company can minimise the risk of exposure.

Liquidity risk

The company is financed by a mixture of support from the club's sponsors and revenues raised through the normal business activities. In 2020 the Club reached out to fans and sponsors and created an alternative to ticketing refunds - United Rotherham. This project not only helped to ensure the club's long-term future but also provide a solid platform for us all to collectively deliver inclusive opportunities for the people of Rotherham and has enabled some wonderful things to happen for the good of our fellow Millers and local key workers in 2022. The Club also offered individuals the option to roll over refunds into a 'Millers Wallet' to use in 2022 on home fixture ticketing. Managing the company's cash and borrowings efficiently reduced the company's exposure to adverse interest expense.

Key Performance Indicators

The financial performance of the company is monitored against budget prepared by management. The Club works within the guidelines set by EFL Football League, in the League One this is SCMP rules to ensure Clubs are sustainable.

	2022	2021	Change	Change
	£k's	£k's	£k's	%
Income				
First Team	2,521	7,400	-4,879	-65.9%
Academy	543	519	24	4.6%
Total Funding	**3,064**	**7,919**	**-4,856**	**-61.3%**
Match Day Income	1,285	20	1,265	6325%
Season Tickets	1,346	0	1,346	-
Total Match Receipts	**2,631**	**21**	**2,610**	**12428.6%**
Sponsorship, Advertising & Hospitality	2,904	2,261	643	28.5%
Merchandising & Other Match Day	922	883	39	4.4%
Media	95	691	-596	-86.2%
Other Player Trading	35	274	-239	-87.2%
Other grants	202	64	138	215.6%
Total Income	**9,853**	**12,112**	**-2,259**	**-18.7%**
Profitability				
Profit/(Loss) Before Tax	(1,686)	(867)	-731	-103.6%

Net current assets are -£1,606k (£121k 2021).

Other main movements in the company's balance sheet are increased debtors by £1,262k from £541k to £1,803k. This includes increased football debtors from £128k to £837k.

Total Creditors are £3,669k (£2381k 2021). Included in Creditors are loans from the EFL to guarantee PAYE payments £2,205k (£2,370k 2021) as well as other football creditors £528k (£335k 2021). Also included in creditors to be paid in less than 1 year is a group loan from ASD Lighting Plc £336k (£215k 2021).

Non financial performance is benchmarked against other Clubs and used in setting targets for the following season.

ROTHERHAM UNITED FOOTBALL CLUB (RUFC) LIMITED

DIRECTORS' REPORT

FOR THE YEAR ENDED 30 JUNE 2022

The directors present their annual report and financial statements for the year ended 30 June 2022.

Principal activities
The principal activity of the company continued to be that of a football league club and is unchanged from the previous years.

Directors
The directors who held office during the year and up to the date of signature of the financial statements were as follows:

A R Stewart
R P Stewart
K Thomas

Results and dividends
The results for the year are set out on page 12.

No ordinary dividends were paid. The directors do not recommend payment of a final dividend.

Qualifying third party indemnity provisions
The company has made qualifying third party indemnity provisions for the benefit of its directors during the year. These provisions remain in force at the reporting date.

Future developments
The future developments of the company are discussed in the Strategic Report.

Auditor
In accordance with the company's articles, a resolution proposing that Buckle Barton Limited be reappointed as auditor of the company will be put at a General Meeting.

Statement of directors' responsibilities
The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period.

In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Other information and explanations

Non-financial performance is benchmarked against other Clubs and used in setting targets for the following season:

	2022	2021	Change	Change
Average League Attendance	9,337	0	9,337	100.0%
Season Tickets Sold	6,256	0	6,256	100.0%

A huge thank you to our returning season ticket holders and fans that supported us on a match by match basis.

Future Developments

With collectivism and togetherness at the AESSEAL New York Stadium and a feeling that the players and all staff once again worked extremely hard to secure their Championship status for 2022/23. We will focus our efforts on recruitment and training to add further strength to staff and players.

We will continue to follow guidance from Public Health England and the EFL and ensure our that the health and safety of our staff , players and fans remains a priority.

First Team staff will work closely with the Academy in a renewed emphasis to develop young players to play in a first team squad.

Our Management team will continue to make use of the facilities at our Roundwood training site whilst identifying innovative ways to measure and improve player's fitness and skills.

The Club will continue to work alongside and support our Community Trust which continues to deliver sport, education and confidence to the local community.

Season ticket sales for 2023 are in excess of 6700. ASD Lighting Plc has agreed to sponsor the Club for another season. Other Sponsors secured include AESEAL (Naming Rights), Mears, Eric Twigg Foods , B Bennet, KCM and Complete Utility Solutions (stand sponsors), IPM, Hughie Construction, Guardian Electrical and Assura Financial Technologies (kit sponsors) and many more all secured for another season.

We look forward to hosting (with other Clubs) the UEFA Women's Euro's in July 2022 and will continue to work with the FA to host other football competitions.

We look forward to an exciting season in the Championship. Up the Millers.

On behalf of the board

K Thomas

Director

22/02/2023

DIRECTORS' REPORT (CONTINUED)

FOR THE YEAR ENDED 30 JUNE 2022

Statement of disclosure to auditor
In so far as the directors are aware:

- there is no relevant audit information of which the company's auditor is unaware and;
- the directors have taken all steps that they ought to have taken to make themselves aware of any relevant audit information and to establish that the auditors are aware of that information

Inclusion and Anti-Discrimination Statement of Commitment
Rotherham United Football Club (RUFC) Ltd is a diverse organisation that values difference and recognises that people with different backgrounds, skills, attitudes and experiences bring fresh ideas and perceptions. Rotherham United Football Club (RUFC) Ltd take great care to treat each individual as a person in their own right, with equal rights and responsibilities to any other individual, whether they are an adult or a child. We are committed to providing equality of opportunity and anti-discriminatory practice for all players, officials, staff, fans, members of the community, partners and other stakeholders according to their individual needs. Discrimination on the grounds of sex, age, race, religion or belief, marriage or civil partnership, disability, sexual orientation, gender reassignment, pregnancy or maternity, ethnic or national origin or political belief has no place within the Club.

On behalf of the board

K Thomas
Director
22.02.2023

ROTHERHAM UNITED FOOTBALL CLUB (RUFC) LIMITED

INDEPENDENT AUDITOR'S REPORT

TO THE MEMBERS OF ROTHERHAM UNITED FOOTBALL CLUB (RUFC) LIMITED

Opinion

We have audited the financial statements of Rotherham United Football Club (RUFC) Limited (the 'company') for the year ended 30 June 2022 which comprise the statement of comprehensive income, the balance sheet, the statement of changes in equity and notes to the financial statements, including significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including FRS 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland* (United Kingdom Generally Accepted Accounting Practice).

In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 30 June 2022 and of its loss for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the financial statements* section of our report. We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Other information

The other information comprises the information included in the annual report other than the financial statements and our auditor's report thereon. The directors are responsible for the other information contained within the annual report. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon. Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit, or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of our audit:

- the information given in the strategic report and the directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the strategic report and the directors' report have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception

In the light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified material misstatements in the strategic report and the directors' report.

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of directors

As explained more fully in the directors' responsibilities statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error. In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud, is detailed below.

- We obtained an understanding of laws and regulations that affect the company, focusing on those that had a direct effect on the financial statements or that had a fundamental effect on its operations. Key laws and regulations that we identified included the UK Companies Act, tax legislation and occupational health and employment legislation.

- We enquired of the directors for evidence of non compliance with relevant laws and regulations. We also reviewed controls the directors have in place to ensure compliance.

- We gained an understanding of the controls that the directors have in place to prevent and detect fraud. We enquired of the directors about any instances of fraud that had taken place during the accounting period.

- The risk of fraud and non compliance with laws and regulations and fraud was discussed within the audit team and teste were planned and performed to address these risks. We identified the potential for fraud in the following areas - revenue recognition.

- We reviewed financial statements disclosures and tested to supporting documentation to assess compliance with relevant laws and regulations discussed above.

- We enquired of the directors about actual and potential litigation and claims.

- We performed analytical procedures to identify any unusual or unexpected relationships that might indicate risks of material misstatement due to fraud.

- In addressing the risk of fraud due to management override of internal controls we tested the appropriateness of journal entries and assessed whether the judgements made in making accounting estimates were indicative of a potential bias.

Due to the inherent limitations of an audit, there is an unavoidable risk that we may not have detected some material misstatements in the financial statements, even though we have properly planned and performed our audit in accordance with auditing standards. For example, as with any audit, there remained a higher risk of non detection of irregularities, as these may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls. We are not responsible for preventing fraud or non compliance with laws and regulations and cannot be expected to detect all fraud and non compliance with laws and regulations.

A further description of our responsibilities is available on the Financial Reporting Council's website at: https://www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Use of our report
This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members, as a body, for our audit work, for this report, or for the opinions we have formed.

Mark Dalton BA FCA (Senior Statutory Auditor)
For and on behalf of Buckle Barton Limited

22 February 2023

Chartered Accountants
Statutory Auditor

Sanderson House
Station Road
Horsforth
Leeds
LS18 5NT

ROTHERHAM UNITED FOOTBALL CLUB (RUFC) LIMITED

STATEMENT OF COMPREHENSIVE INCOME

FOR THE YEAR ENDED 30 JUNE 2022

	Notes	2022 £	2021 £
Turnover	3	9,852,701	12,112,100
Cost of sales		(9,298,280)	(10,462,864)
Gross profit		554,421	1,649,236
Administrative expenses		(2,241,152)	(2,757,489)
Other operating income		650	247,365
Operating loss	4	(1,686,081)	(860,888)
Interest payable and similar expenses	7	(364)	(6,540)
Loss before taxation		(1,686,445)	(867,428)
Tax on loss	8	249,000	161,500
Loss for the financial year		(1,437,445)	(705,928)

The profit and loss account has been prepared on the basis that all operations are continuing operations.

ROTHERHAM UNITED FOOTBALL CLUB (RUFC) LIMITED

BALANCE SHEET

AS AT 30 JUNE 2022

	Notes	2022 £	2022 £	2021 £	2021 £
Fixed assets					
Intangible assets	9		826,300		698,325
Tangible assets	10		300,192		333,468
			1,126,492		1,031,793
Current assets					
Stocks	11	117,575		144,639	
Debtors	12	1,803,381		541,261	
Cash at bank and in hand		142,343		1,816,560	
		2,063,299		2,502,460	
Creditors: amounts falling due within one year	13	(3,669,560)		(2,381,011)	
Net current (liabilities)/assets			(1,606,261)		121,449
Total assets less current liabilities			(479,769)		1,153,242
Creditors: amounts falling due after more than one year	14		(1,727,668)		(1,923,234)
Net liabilities			(2,207,437)		(769,992)
Capital and reserves					
Called up share capital	17		2,850,004		2,850,004
Profit and loss reserves			(5,057,441)		(3,619,996)
Total equity			(2,207,437)		(769,992)

The financial statements were approved by the board of directors and authorised for issue on 22:02:2023 and are signed on its behalf by:

K Thomas
Director

Company Registration No. 06550400

ROTHERHAM UNITED FOOTBALL CLUB (RUFC) LIMITED

STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 30 JUNE 2022

	Share capital	Profit and loss reserves	Total
	£	£	£
Balance at 1 July 2020	2,850,004	(2,914,068)	(64,064)
Year ended 30 June 2021:			
Loss and total comprehensive income for the year	-	(705,928)	(705,928)
Balance at 30 June 2021	2,850,004	(3,619,996)	(769,992)
Year ended 30 June 2022:			
Loss and total comprehensive income for the year	-	(1,437,445)	(1,437,445)
Balance at 30 June 2022	2,850,004	(5,057,441)	(2,207,437)

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEAR ENDED 30 JUNE 2022

1 Accounting policies

Company information

Rotherham United Football Club (RUFC) Limited is a company limited by shares incorporated in the UK and registered in England and Wales. The registered office is . New York Stadium, New York Way, Rotherham, S60 1AH

1.1 Accounting convention

These financial statements have been prepared in accordance with FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" ("FRS 102") and the requirements of the Companies Act 2006.

The financial statements are prepared in sterling, which is the functional currency of the company. Monetary amounts in these financial statements are rounded to the nearest £.

The financial statements have been prepared under the historical cost convention

The principal accounting policies adopted are set out below.

This company is a qualifying entity for the purposes of FRS 102, being a member of a group where the parent of that group prepares publicly available consolidated financial statements, including this company, which are intended to give a true and fair view of the assets, liabilities, financial position and profit or loss of the group. The company has therefore taken advantage of exemptions from the following disclosure requirements:

- Section 4 'Statement of Financial Position': Reconciliation of the opening and closing number of shares;
- Section 7 'Statement of Cash Flows': Presentation of a statement of cash flow and related notes and disclosures;
- Section 11 'Basic Financial Instruments' and Section 12 'Other Financial Instrument Issues': Carrying amounts, interest income/expense and net gains/losses for each category of financial instrument; basis of determining fair values; details of collateral, loan defaults or breaches, details of hedges, hedging fair value changes recognised in profit or loss and in other comprehensive income;
- Section 26 'Share based Payment': Share-based payment expense charged to profit or loss, reconciliation of opening and closing number and weighted average exercise price of share options, how the fair value of options granted was measured, measurement and carrying amount of liabilities for cash-settled share-based payments, explanation of modifications to arrangements;
- Section 33 'Related Party Disclosures': Compensation for key management personnel.

The financial statements of the company are consolidated in the financial statements of ASD Lighting Holdings Limited. These consolidated financial statements are available from the parent company's registered office, Mangham Road, Barbot Hall Industrial Estate, Rotherham, S61 4RJ.

1.2 Going concern

The accounts have been prepared on a going concern basis. Although the company had significant net liabilities at 30 June 2022 the directors have prepared cash flow forecasts for the next 3 years which show that the company can continue to trade as a going concern but it must continue to rely upon the support of sponsors, in particular its fellow subsidiary company ASD Lighting PLC to enable it to do so.

1 **Accounting policies** **(Continued)**

1.3 Turnover

Turnover represents income receivable from football and related commercial activities, exclusive of VAT. Gate receipts and other match day revenue are recognised as the games are played. The club also receives central distributions from the Football League and a solidarity payment from the Premier League that are beyond the direct control of the officers of the club. These distributions are recognised evenly over the course of the financial year.

Revenue derived from season tickets is credited to income in the period to which it relates. Amounts received in advance are credited to deferred income in the balance sheet.

Sponsorship, advertising and similar commercial income is recognised over the duration of the respective contracts. Amounts received in advance are credited to deferred income in the balance sheet.

1.4 Intangible fixed assets - Player registrations

In line with FRS 102, the costs associated with the acquisition of players' registrations are capitalised as intangible fixed assets and amortised over the period of the respective player's contracts. Players' registrations are written down for impairment when the carrying amount exceeds the amount recoverable through use or sale.

1.5 Tangible fixed assets

Tangible fixed assets are initially measured at cost and subsequently measured at cost or valuation, net of depreciation and any impairment losses.

Depreciation is recognised so as to write off the cost or valuation of assets less their residual values over their useful lives on the following bases:

Improvements to leasehold property	Over the period of the lease
Plant and equipment	20% on cost
Equipment, fixtures and fittings	20% on cost

The gain or loss arising on the disposal of an asset is determined as the difference between the sale proceeds and the carrying value of the asset, and is credited or charged to profit or loss.

1.6 Borrowing costs related to fixed assets

Borrowing costs directly attributable to the acquisition, construction or production of qualifying assets, which are assets that necessarily take a substantial period of time to get ready for their intended use or sale, are added to the cost of those assets, until such time as the assets are substantially ready for their intended use or sale.

All other borrowing costs are recognised in profit or loss in the period in which they are incurred.

1.7 Stocks

Stocks, which comprise goods held for re-sale, are stated at the lower of cost and estimated net realisable value.

1.8 Taxation

The tax expense represents the sum of the tax currently payable and deferred tax.

1 Accounting policies **(Continued)**

Current tax

The tax currently payable is based on taxable profit for the year. Taxable profit differs from net profit as reported in the profit and loss account because it excludes items of income or expense that are taxable or deductible in other years and it further excludes items that are never taxable or deductible. The company's liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the reporting end date.

Deferred tax

Deferred tax arises as a result of including items of income and expenditure in taxation computations in periods different from those in which they are included in the company's accounts. Deferred tax is provided in full on timing differences which result in an obligation to pay more(or less) tax at a future date, at the average tax rates that are expected to apply when the timing differences reverse, based on current tax rates and laws.

1.9 Retirement benefits

Payments to defined contribution retirement benefit schemes are charged as an expense as they fall due.

1.10 Leases

Rentals under operating leases are charged to the profit and loss account as they fall due.

1.11 Pension scheme

The pension costs charges in the financial statements represent the contribution payable by the company during the period.

1.12 Signing on fees

Signing on fees represent a normal part of the employment cost of the player and as such are to be charged to the profit and loss account in the accounting period in which payment is made. Potential instalments due in the future based on continued service are disclosed as a contingent liability.

1.13 Grants

There were no deferred grant releases during the year.

2 Judgements and key sources of estimation uncertainty

In the application of the company's accounting policies, the directors are required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised where the revision affects only that period, or in the period of the revision and future periods where the revision affects both current and future periods.

The key estimates and judgements made by the directors when preparing the financial statements relate to:

- The economic life of fixed assets (tangible and intangible)
- Provisions needed for potential bad debts

3 Turnover and other revenue

An analysis of the company's turnover is as follows:

	2022 £	2021 £
Turnover		
Match income & season tickets	2,630,635	20,659
Central distributions	3,038,062	7,902,127
Commercial income	2,904,110	2,260,816
Merchandising income	921,968	883,171
Media receipts	95,149	690,617
Transfer fees & sell on clauses	35,000	273,866
Other receipts	227,777	80,844
	9,852,701	12,112,100
Other significant revenue		
Covid grant claims receivable	650	247,364

Turnover analysed by geographical market

	2022 £	2021 £
Great Britain	9,819,136	12,112,100
Asia & Far East	3,565	-
Channel Islands	30,000	-
	9,852,701	12,112,100
Analysis per statutory database	**9,852,701**	**12,112,100**
Statutory database analysis does not agree to the trial balance by:	-	-

4 Operating loss on ordinary activities before taxation

Operating loss for the year is stated after charging/(crediting):	2022 £	2021 £
Fees payable to the company's auditors for the audit of the company's financial statements	13,250	9,200
Depreciation of owned tangible fixed assets	51,820	76,221
Amortisation of intangible assets	562,308	485,290
Profit on disposal of intangible assets	(1,090,283)	-

5 Auditor's remuneration

Fees payable to the company's auditor and associates:	2022 £	2021 £
For audit services		
Audit of the financial statements of the company	13,250	9,200

6 Employees

The average monthly number of persons (including directors) employed by the company during the year was:

	2022 Number	2021 Number
Sales, matchday, ground staff	67	66
Administration and other	4	4
First team players and coaches	42	45
Youth team players and coaches	51	48
Total	164	163

Their aggregate remuneration comprised:

	2022 £	2021 £
Wages and salaries	5,820,029	7,258,254
Employers NI	682,628	872,025
Class 1 NI	30,237	24,266
Pension (paid to EFL for players)	15,952	14,595
Pension FT Staff	43,226	45,410

7 Interest payable and similar expenses

	2022 £	2021 £
Interest on bank overdrafts and loans	364	6,540

8 Taxation

	2022	2021
	£	£
Current tax		
Group tax relief	(249,000)	(161,500)

The actual credit for the year can be reconciled to the expected credit for the year based on the profit or loss and the standard rate of tax as follows:

	2022	2021
	£	£
Loss before taxation	(1,686,445)	(867,428)
Expected tax credit based on the standard rate of corporation tax in the UK of 19.00% (2021: 19.00%)	(320,425)	(164,811)
Tax effect of expenses that are not deductible in determining taxable profit	-	14,482
Unutilised tax losses carried forward	75,770	-
Depreciation on assets not qualifying for tax allowances	(4,345)	(12,911)
Rounding	-	1,740
Taxation credit for the year	(249,000)	(161,500)

9 Intangible fixed assets

	Player Registrations
	£
Cost	
At 1 July 2021	1,545,000
Additions	825,000
Disposals	(775,000)
At 30 June 2022	1,595,000
Amortisation and impairment	
At 1 July 2021	846,675
Amortisation charged for the year	562,308
Disposals	(640,283)
At 30 June 2022	768,700
Carrying amount	
At 30 June 2022	826,300
At 30 June 2021	698,325

10 Tangible fixed assets

	Improvements to leasehold property	Plant and equipment	Equipment, fixtures and fittings	Total
	£	£	£	£
Cost				
At 1 July 2021	470,918	392,173	287,911	1,151,002
Additions	-	-	18,544	18,544
At 30 June 2022	470,918	392,173	306,455	1,169,546
Depreciation and impairment				
At 1 July 2021	228,188	307,606	281,740	817,534
Depreciation charged in the year	22,876	24,266	4,678	51,820
At 30 June 2022	251,064	331,872	286,418	869,354
Carrying amount				
At 30 June 2022	219,854	60,301	20,037	300,192
At 30 June 2021	242,730	84,567	6,171	333,468

11 Stocks

	2022	2021
	£	£
Finished goods and goods for resale	117,575	144,639

12 Debtors

	2022	2021
Amounts falling due within one year:	£	£
Trade debtors	1,145,114	292,516
Other debtors	37,588	57,679
Prepayments and accrued income	620,679	191,066
	1,803,381	541,261

Included within debtors are football debtors of £836,999 (2021: £127,667).

13 Creditors: amounts falling due within one year

	Notes	2022 £	2021 £
Other borrowings	15	477,666	447,066
Trade creditors		1,447,172	725,651
Amounts owed to group undertakings		336,940	214,778
Corporation tax		988	988
Other taxation and social security		474,603	299,614
Accruals and deferred income		932,191	692,914
		3,669,560	2,381,011

Included within creditors falling due within 1 year are loan repayments to the EFL of £477,666 (2021: £477,066) and other football creditors £527,787(2021: £335,983).

14 Creditors: amounts falling due after more than one year

	Notes	2022 £	2021 £
Other borrowings	15	1,727,668	1,923,234

15 Loans and overdrafts

	2022 £	2021 £
Other loans	2,205,334	2,370,300
Payable within one year	477,666	447,066
Payable after one year	1,727,668	1,923,234

The long-term loan is a loan from The Football League which is both unsecured and interest free. The loan is repayable in equal instalments with the final repayment is due in December 2025.

16 Retirement benefit schemes

Defined contribution schemes	2022 £	2021 £
Charge to profit or loss in respect of defined contribution schemes	4,173	-

The company operates a defined contribution pension scheme for all qualifying employees. The assets of the scheme are held separately from those of the company in an independently administered fund.

17 Share capital

Ordinary share capital	2022 Number	2021 Number	2022 £	2021 £
Issued and fully paid				
Ordinary shares of £1 each	2,850,004	2,850,004	2,850,004	2,850,004

Ordinary shares carry one vote per share.

18 Operating lease

At the reporting end date the company had outstanding commitments for future minimum lease payments under non-cancellable operating leases, which fall due as follows:

	2022 £	2021 £
Within one year	77,397	90,529
Between two and five years	181,952	216,849
In over five years	140,000	182,500
	399,349	489,878

19 Contigent liabilities

Additional transfer costs of £80,000 (2021: £33,000) will become payable if certain conditions contained within the relevant contracts are met. These payments will be accounted for in the year in which they fall due for payment.

Additional transfer fees of £600,000 (2021: £nil) will become receivable if certain conditions contained within the relevant contracts are met. These amounts will be accounted for in the year which they become receivable.

The company has provided an unlimited cross guarantee in respect of the banking facilities of ASD Lighting Holdings Limited, ASD Lighting plc and RU Estates Limited. At 30 June 2022 there was a potential liability of £nil (2021: £nil).

20 Related party transactions

The directors of the company are remunerated through ASD Management LLP (an LLP of which A R Stewart and R P Stewart are members) and ASD Lighting plc, a fellow subsidiary of ASD Lighting Holdings Limited.

During the year the company received sponsorship and advertising income of £1,020,600 (2021: £1,020,600) from ASD Lighting plc. The company was charged £32,371 (2021: £17,946) for the provision of administrative services by ASD Lighting plc. At 30 June 2022 included within creditors falling due within one year is £336,040 (2021: £214,778) owed to ASD Lighting plc.

During the year the company was charged £1,000,000 (2021: £1,000,000) by RU Estates Limited, a company of which A R Stewart and R P Stewart are directors, for the rent of assets.

During the year the company made sales of £59,686 (2021: £14,888) to Rotherham United Community Sports Trust, a company of which K Thomas is a Trustee.

21 Ultimate controlling party

A R Stewart is the ultimate controlling party by virtue of his majority shareholding in ASD Lighting Holdings Limited, the parent company of Rotherham United Football Club (RUFC) Limited.

ASD Lighting Holdings Limited is registered in England and Wales, accounts are available from Companies House, Crown Way, Cardiff CF14 3UZ.